

Shengyi Technology 600183.SS 600183 CH

EQUITY: TECHNOLOGY

Price hike and product upgrade drive solid 1H26 performance...

... and, we expect the AI upcycle to continue

Action: Maintain Buy and raise TP to CNY195, implying 31.8% upside

Shengyi Technology (ST) reported a strong 1H26E profit alert on 13 July after market close, guiding for CNY3.1-3.3bn net profit (+117%-131% y-y), and CNY2.72-2.92bn recurring earnings (+97%-112% y-y). We think the strong profit alert was attributable to a CCL price hike in 1H26, demand uptick from an AI PCB/CCL customer, as well as new capacity contribution. We believe the company has already become one of the global leaders in the AI CCL/PCB market, and will continue to gain market share thanks to its solid execution power and sustained technological innovations. We revise up our FY26-28F revenue forecasts by 24.5-50.1% to reflect the stronger volume and ASP growth in both the CCL and PCB segments, and raise our FY26-28F earnings forecasts by 38.7-55.2% due to margin expansion driven by better AI product exposure. We maintain Buy and raise TP to CNY195 (from CNY95), based on 43x (previously 32x) FY27F EPS of CNY4.51, in line with an FY26-28F earnings CAGR of 43%. The stock is trading at 32.8x FY27F EPS.

CCL: price hike to drive near-term earnings, tech upgrade to underpin long-term global AI market expansion

We think the CCL price hike in 1H26 (>50% y-y) was driven by upstream material shortage (copper foil, glass fiber, etc.), which will continue in 2H26F, and underpin further revenue/margin expansion. Meanwhile, we believe the company enjoys solid content value upgrade opportunities in the global AI infrastructure market, as it is well-prepared for new technology roadmaps such as M9 / M10 CCL, PTFE, etc. We estimate a 40% revenue CAGR for CCL & Prepreg segment in FY26-28F, contributing 67% to total sales in FY28F. Despite recent market concerns about the slower product upgrade from its leading GPU customer, we think the AI CCL market is already consolidated, and the company's market share gain story in the high-end CCL segment still looks intact.

PCB: ASIC product upgrade leads to stronger demand; diversification on track

The key ASIC customer has already started upgrading its product, leading to better demand for ST's HLC (high layer count) PCB products in 2Q26F, which will continue in 2H26F, in our view. Meanwhile, we think the company might gradually develop more AI customers in both the overseas market (ASIC, switch) and China market (AI server, switch), and reduce customer concentration risk. We estimate a 48% revenue CAGR for the PCB segment in FY26-28F, contributing 28% to total sales in FY28F.

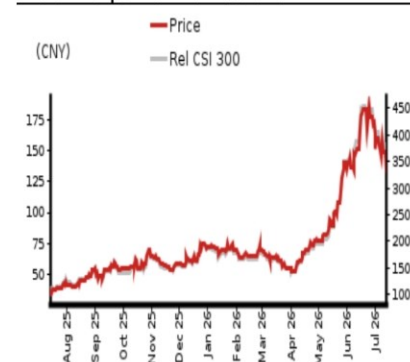
Year-end 31 Dec		FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	Old	New
Revenue (mn)	28,431	37,349	46,481	47,574	66,858	59,197	88,843		
Reported net profit (mn)	3,334	5,262	7,296	7,245	10,964	9,549	14,824		
Normalised net profit (mn)	3,334	5,262	7,296	7,245	10,964	9,549	14,824		
FD normalised EPS	1.37	2.17	3.00	2.98	4.51	3.93	6.10		
FD norm. EPS growth (%)	88.8	57.8	118.8	37.7	50.3	31.8	35.2		
FD normalised P/E (x)	107.8	—	49.2	—	32.8	—	24.2		
EV/EBITDA (x)	62.9	—	31.3	—	21.6	—	16.4		
Price/book (x)	21.5	—	15.6	—	13.1	—	11.2		
Dividend yield (%)	0.3	—	1.8	—	2.8	—	3.8		
ROE (%)	21.1	27.9	36.7	32.6	43.5	38.3	49.8		
Net debt/equity (%)	11.4	3.9	3.9	8.9	9.3	12.3	12.8		

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	CNY 195.00
Increased from	CNY 95.00
Closing price	CNY 147.90
14 July 2026	
Implied upside	+31.8%

Market Cap (USD mn)	47,489.2
ADT (USD mn)	1,397.0

Relative performance chart



Source: LSEG, Nomura

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Key data on Shengyi Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-2.2	121.3	349.4	M cap (USDmn)	47,489.2
Absolute (USD)	-2.5	122.5	375.2	Free float (%)	48.7
Rel to CSI 300	-0.5	121.5	332.5	3-mth ADT (USDmn)	1,397.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	20,388	28,431	46,481	66,858	88,843
Cost of goods sold	-15,895	-20,905	-32,246	-45,713	-60,062
Gross profit	4,493	7,526	14,235	21,145	28,780
SG&A	-2,495	-3,226	-5,042	-7,387	-10,260
Employee share expense					
Operating profit	1,998	4,300	9,193	13,758	18,521
EBITDA	2,835	5,187	10,391	15,105	20,021
Depreciation	-837	-887	-1,198	-1,347	-1,500
Amortisation					
EBIT	1,998	4,300	9,193	13,758	18,521
Net interest expense	-70	-97	-159	-229	-304
Associates & JCEs					
Other income	140	214	349	502	667
Earnings before tax	2,068	4,416	9,383	14,031	18,884
Income tax	-200	-524	-1,114	-1,666	-2,243
Net profit after tax	1,868	3,892	8,269	12,365	16,641
Minority interests	-129	-558	-973	-1,402	-1,818
Other items					
Preferred dividends					
Normalised NPAT	1,739	3,334	7,296	10,964	14,824
Extraordinary items					
Reported NPAT	1,739	3,334	7,296	10,964	14,824
Dividends	-1,583	-972	-6,641	-9,980	-13,494
Transfer to reserves	156	2,362	654	983	1,330

Valuations and ratios

Reported P/E (x)	203.5	107.8	49.2	32.8	24.2
Normalised P/E (x)	203.5	107.8	49.2	32.8	24.2
FD normalised P/E (x)	203.5	107.8	49.2	32.8	24.2
Dividend yield (%)	0.4	0.3	1.8	2.8	3.8
Price/cashflow (x)	243.0	68.1	77.1	45.8	31.3
Price/book (x)	24.1	21.5	15.6	13.1	11.2
EV/EBITDA (x)	114.7	62.9	31.3	21.6	16.4
EV/EBIT (x)	162.7	75.8	35.4	23.7	17.7
Gross margin (%)	22.0	26.5	30.6	31.6	32.4
EBITDA margin (%)	13.9	18.2	22.4	22.6	22.5
EBIT margin (%)	9.8	15.1	19.8	20.6	20.8
Net margin (%)	8.5	11.7	15.7	16.4	16.7
Effective tax rate (%)	9.7	11.9	11.9	11.9	11.9
Dividend payout (%)	91.0	29.1	91.0	91.0	91.0
ROE (%)	12.0	21.1	36.7	43.5	49.8
ROA (pretax %)	8.4	15.2	26.1	30.7	32.9

Growth (%)

Revenue	22.9	39.4	63.5	43.8	32.9
EBITDA	35.6	83.0	100.3	45.4	32.5
Normalised EPS	118.9	88.8	118.8	50.3	35.2
Normalised FDEPS	118.9	88.8	118.8	50.3	35.2

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,835	5,187	10,391	15,105	20,021
Change in working capital	-1,283	-567	-4,001	-4,628	-5,014
Other operating cashflow	-96	653	-1,730	-2,628	-3,531
Cashflow from operations	1,456	5,274	4,659	7,849	11,476
Capital expenditure	-926	-2,376	-2,676	-2,876	-3,076
Free cashflow	530	2,898	1,983	4,973	8,401
Reduction in investments	0	0			
Net acquisitions					
Dec in other LT assets	0	0			
Inc in other LT liabilities	0	0			
Adjustments	-8	-557	0	0	0
CF after investing acts	522	2,341	1,983	4,973	8,401
Cash dividends	-1,192	-2,727	-972	-6,641	-9,980
Equity issue	773	35	0	0	0
Debt issue	-281	136	2,277	500	500
Convertible debt issue					
Others	-582	-56	0	0	0
CF from financial acts	-1,281	-2,613	1,306	-6,141	-9,480
Net cashflow	-759	-272	3,289	-1,168	-1,080
Beginning cash	2,775	2,016	1,744	5,033	3,865
Ending cash	2,016	1,744	5,033	3,865	2,785
Ending net debt	1,536	1,902	890	2,558	4,138

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,016	1,744	5,033	3,865	2,785
Marketable securities					
Accounts receivable	7,541	9,655	14,056	20,218	26,866
Inventories	5,119	5,786	8,411	11,924	15,667
Other current assets	1,937	2,204	2,204	2,204	2,204
Total current assets	16,613	19,389	29,704	38,211	47,522
LT investments					
Fixed assets	9,105	11,083	12,420	13,808	15,242
Goodwill	626	620	620	620	620
Other intangible assets	1,300	1,678	1,652	1,627	1,601
Other LT assets					
Total assets	27,643	32,770	44,396	54,265	64,986
Short-term debt	2,994	2,743	5,020	5,520	6,020
Accounts payable	6,609	9,059	12,084	17,131	22,508
Other current liabilities	247	278	278	278	278
Total current liabilities	9,849	12,080	17,382	22,929	28,806
Long-term debt	558	903	903	903	903
Convertible debt					
Other LT liabilities	731	877	877	877	877
Total liabilities	11,138	13,859	19,162	24,709	30,586
Minority interest	1,600	2,187	2,187	2,187	2,187
Preferred stock					
Common stock	2,429	2,429	2,429	2,429	2,429
Retained earnings	12,475	14,294	20,619	24,941	29,784
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	14,905	16,724	23,048	27,370	32,213
Total equity & liabilities	27,643	32,770	44,396	54,265	64,986

Liquidity (x)

Current ratio	1.69	1.61	1.71	1.67	1.65
Interest cover	28.4	44.2	57.8	60.2	61.0

Leverage

Net debt/EBITDA (x)	0.54	0.37	0.09	0.17	0.21
Net debt/equity (%)	10.3	11.4	3.9	9.3	12.8

Per share

Reported EPS (CNY)	72.69c	1.37	3.00	4.51	6.10
Norm EPS (CNY)	72.69c	1.37	3.00	4.51	6.10
FD norm EPS (CNY)	72.69c	1.37	3.00	4.51	6.10
BVPS (CNY)	6.14	6.88	9.49	11.27	13.26
DPS (CNY)	0.65	0.40	2.73	4.11	5.56

Activity (days)

Days receivable	118.8	110.4	93.1	93.6	97.0
Days inventory	108.1	95.2	80.4	81.2	84.1
Days payable	129.8	136.8	119.7	116.6	120.8
Cash cycle	97.1	68.8	53.8	58.1	60.3

Source: Company data, Nomura estimates

Company profile

Shengyi Technology is the second-largest CCL (copper clad laminate) manufacturer globally. The company produces and ships CCL and prepreg products to PCB makers. Shengyi Technology also has PCB manufacturing business through its subsidiary Shengyi Electronics.

Valuation Methodology

Our TP of CNY195.00 is based on 43x 2027F EPS of CNY4.51, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price

Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; and 2) more intensified market competition in the CCL market leading to margin pressures.

ESG

Shengyi Technology shares its social responsibility by offering electronic components for telecom infrastructures. While the production of CCL and PCB products may have impacts on the environment.

Earnings forecast revisions

We raise our FY26-28F revenue forecasts by 24.5-50.1%, thanks to stronger CCL segment performance driven by price hike and higher AI CCL contribution, as well as AI PCB customer's technology upgrade. Thanks to better product mix and price hike, our GPM forecasts increase by 0.6-1.4pp for FY26-27F. As a result, our earnings forecasts rise by 38.7-55.2% for FY26-28F.

Fig. 1: Shengyi Tech - annual earnings forecast revisions

(CNY mn)	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Turnover	16,586	20,388	28,431	46,481	66,858	88,843	37,349	47,574	59,197	24.5%	40.5%	50.1%
% chg yoy	-8%	23%	39%	63%	44%	33%	31%	27%	24%			
COGS	(13,395)	(15,895)	(20,905)	(32,246)	(45,713)	(60,062)	(26,442)	(32,835)	(39,895)	30.5%	43.5%	49.1%
Gross Profit	3,191	4,493	7,526	14,235	21,145	28,780	10,907	14,738	19,303	24.5%	40.5%	50.1%
OPEX	(1,918)	(2,421)	(3,093)	(5,201)	(7,615)	(10,564)	(4,179)	(5,419)	(7,039)	34.3%	45.2%	48.5%
Operating Income	1,273	2,072	4,434	9,034	13,529	18,217	6,727	9,320	12,264			
% chg yoy	-29%	63%	114%	104%	50%	35%	52%	39%	32%			
Pretax income	1,271	2,068	4,416	9,383	14,031	18,884	7,008	9,677	12,708	33.9%	45.0%	48.6%
% chg yoy	-28%	63%	114%	112%	50%	35%	59%	38%	31%			
Tax	(123)	(200)	(524)	(1,114)	(1,666)	(2,243)	(832)	(1,149)	(1,509)			
Profit to shareholders	1,164	1,739	3,334	7,296	10,964	14,824	5,262	7,245	9,549	38.7%	51.3%	55.2%
% chg yoy	-24%	49%	92%	119%	50%	35%	58%	38%	32%			
Ratio Analysis												
GPM	19.2%	22.0%	26.5%	30.6%	31.6%	32.4%	29.2%	31.0%	32.6%	1.4pp	0.6pp	-0.2pp
OPEX	11.6%	11.9%	10.9%	11.2%	11.4%	11.9%	11.2%	11.4%	11.9%	0.0pp	0.0pp	0.0pp
OPM	7.7%	10.2%	15.6%	19.4%	20.2%	20.5%	18.0%	19.6%	20.7%	1.4pp	0.6pp	-0.2pp
NPM	7.0%	8.5%	11.7%	15.7%	16.4%	16.7%	14.1%	15.2%	16.1%	1.6pp	1.2pp	0.6pp

(CNY mn)	2023	2024	2025F	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Revenue by segment												
CCL & Prepreg	12,632	14,791	17,774	30,246	43,908	59,350	22,070	26,963	33,075	37.0%	62.8%	79.4%
y-y growth	-10%	17%	20%	70%	45%	35%	24%	22%	23%			
% in total	78%	74%	64%	65%	66%	67%	59%	57%	56%			
PCB	3,135	4,484	9,144	14,133	19,963	25,153	13,177	17,624	21,783	7.3%	13.3%	15.5%
y-y growth	-8%	43%	104%	55%	41%	26%	44%	34%	24%			
% in total	19%	22%	33%	30%	30%	28%	35%	37%	37%			

Source: Company data, Nomura estimates

Fig. 2: Shengyi Tech - quarterly earnings forecasts

(CNY mn)		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F
		A	A	A	A	A	NOM	NOM	NOM
Turnover		5,611	7,069	7,934	7,818	8,141	11,562	14,453	12,324
	% chg yoy	27%	36%	55%	39%	45%	64%	82%	58%
COGS		(4,231)	(5,170)	(5,701)	(5,802)	(5,854)	(7,848)	(9,882)	(8,968)
Gross Profit		1,380	1,898	2,233	2,015	2,288	3,714	4,571	3,356
OPEX		(662)	(775)	(839)	(816)	(757)	(1,502)	(1,733)	(904)
Operating Income		719	1,123	1,393	1,199	1,531	2,212	2,838	2,453
	% chg yoy	58%	76%	164%	164%	113%	97%	104%	105%
Pretax income		719	1,122	1,391	1,184	1,530	2,496	3,076	2,280
	% chg yoy	58%	76%	164%	163%	113%	122%	121%	93%
Tax		(84)	(134)	(150)	(156)	(198)	(296)	(365)	(255)
Profit to shareholders		564	863	1,017	891	1,158	1,956	2,468	1,713
	% chg yoy	44%	60%	131%	143%	105%	127%	143%	92%
Ratio Analysis									
GPM		24.6%	26.9%	28.1%	25.8%	28.1%	32.1%	31.6%	27.2%
OPEX		11.8%	11.0%	10.6%	10.4%	9.3%	13.0%	12.0%	7.3%
OPM		12.8%	15.9%	17.6%	15.3%	18.8%	19.1%	19.6%	19.9%
NPM		10.0%	12.2%	12.8%	11.4%	14.2%	16.9%	17.1%	13.9%

Source: Company data, Nomura estimates

Our revenue forecasts are 18-40% higher than WIND consensus estimates, while our earnings forecasts are 31-47% higher, as we are more positive on the price hike driven by sustained component shortages, as well as the company's market share gain in the global AI PCB / CCL market.

Fig. 3: Shengyi Tech — Nomura vs. consensus

CNY mn	2025	2026F			2027F			2028F		
	(Actual)	(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	28,431	46,481	39,252	18%	66,858	51,443	30%	88,843	63,646	40%
Operating Profit	4,434	9,034	7,049	28%	13,529	10,238	32%	18,217	13,956	31%
Pretax Profit	4,416	9,383	7,041	33%	14,031	9,898	42%	18,884	12,809	47%
Net Profit	3,334	7,296	5,589	31%	10,964	7,928	38%	14,824	10,078	47%
EPS	1.37	3.00	2.30	31%	4.51	3.26	38%	6.10	4.15	47%

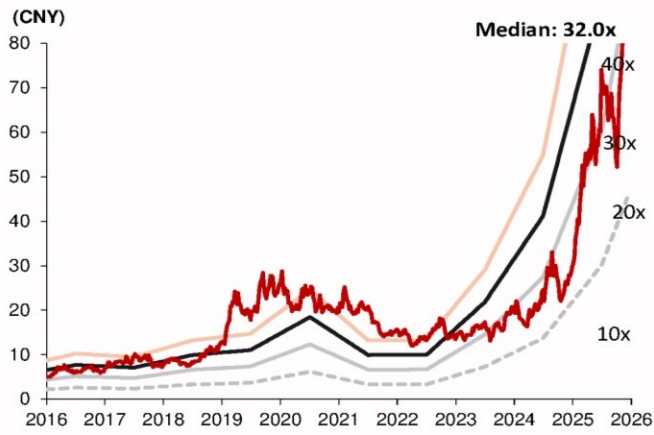
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our new TP of CNY195 (CNY95 earlier) is based on 43x (previously 32x) 2027F EPS of CNY4.51, in line with a FY26-28F earnings CAGR of 43%.

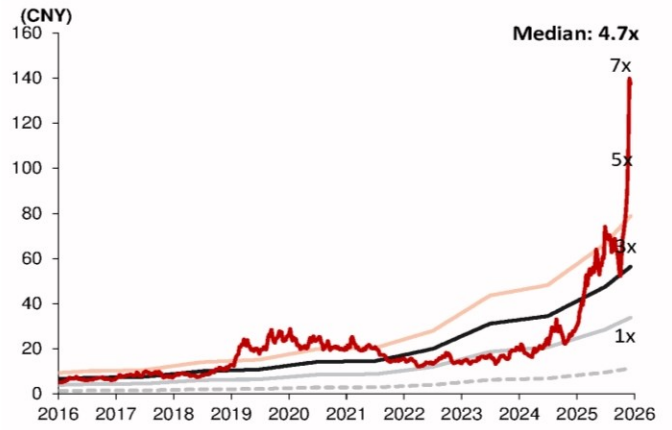
Downside risks include: (1) lower-than-expected PCB demand in downstream sectors such as 5G, servers and auto electronics; and (2) more-intense-than-expected market competition in the CCL market, which could lead to margin pressure.

Fig. 4: Shengyi Tech - 12-month forward P/E band



Source: Company data, Nomura estimates

Fig. 5: Shengyi Tech - 12-month forward P/B band



Source: Company data, Nomura estimates

Appendix A-1

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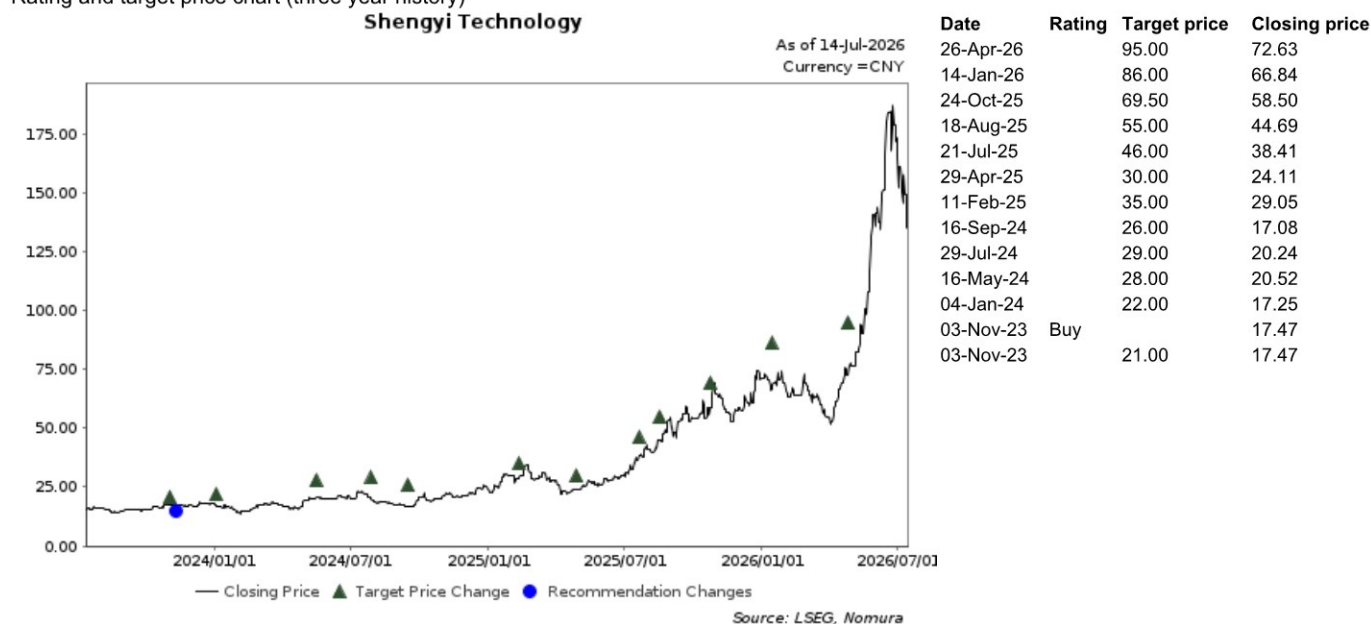
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shengyi Technology	600183 CH	CNY 147.90	14-Jul-2026	Buy	N/A	

Shengyi Technology (600183 CH)

CNY 147.90 (14-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY195.00 is based on 43x 2027F EPS of CNY4.51, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected PCB demand in downstream sectors such as 5G, servers, auto electronics; and 2) more intensified market competition in the CCL market leading to margin pressures.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: <http://go.nomuranow.com/research/m/Disclosures>; **Global Emerging Markets (ex-Asia)**: MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan**: Russell/Nomura Large Cap.

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Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

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